

Financial Foundations

Six lessons covering the essential principles every investor must grasp before putting a single dollar to work.

6

Lessons

~20 min

Read time

Beginner

Level

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What Is Investing?



Investing is the act of committing capital today in exchange for greater purchasing power tomorrow.

ORIGIN

The word 'invest' comes from Latin investire — to clothe, to surround. Merchants in Renaissance Florence used it to describe wrapping capital in a venture.

MECHANISM

Capital flows into assets (stocks, property, bonds) expected to generate returns — via income, appreciation, or both. The investor accepts uncertainty in exchange for potential reward.

SCALE

Today, \$6.6 trillion changes hands in currency markets alone every day. Investing is the engine of the global economy — and available to anyone with a phone.

AT A GLANCE

Capital Allocation

Directing money toward assets that participate in economic value creation — rather than letting it sit idle and erode.

Risk & Return

Higher potential returns always come with higher uncertainty. Investing is the disciplined management of this tradeoff.

Time Horizon

The longer capital can remain invested, the more compounding works its mathematics. Time is the investor's greatest ally.

Ownership

Unlike a loan, investing typically grants ownership: a stake in the upside AND the downside of a business or asset.

\$6.6 Trillion

traded in global currency markets every single day

The Dutch East India Company issued the world's first publicly traded stock in 1602 — raising capital from thousands of investors to fund trade voyages to Asia.

Why People Invest

02

Four universal motivations that drive every investor — from the first-time saver to the seasoned fund manager.

01 Beat Inflation

Cash loses value every year — silently, relentlessly. At 3% annual inflation, \$100,000 becomes worth only \$74,000 in real terms after 10 years. Investing in assets that outpace inflation isn't optional — it's financially necessary for anyone who wants to preserve wealth.

The inflation rate in the US averaged 3.28% per year between 1914 and 2024.

02 Build Wealth Through Compounding

Albert Einstein reputedly called compound interest the 'eighth wonder of the world.' \$10,000 invested at 10% annually becomes \$67,275 in 20 years and \$174,494 in 30 — without adding a single dollar. Time, not intelligence, is the primary driver of investment outcomes.

\$300/month from age 25, at 10% return = over \$1,000,000 by age 65.

03 Generate Passive Income

Dividends from stocks, rental income from property, and coupons from bonds create cash flow that works independently of your labor. This income can be reinvested (accelerating compounding) or used to cover living expenses — the foundation of financial freedom.

The S&P 500's dividend yield has averaged ~1.8%/yr historically, plus capital appreciation.

04 Achieve Financial Independence

The ultimate goal: when your invested assets generate enough income to cover all living expenses. This is what the FIRE movement (Financial Independence, Retire Early) calls the 'crossover point.' The 4% rule suggests a 25× annual-expenses portfolio can sustain withdrawals indefinitely.

At a 4% withdrawal rate, a \$1M portfolio generates \$40,000/yr in perpetuity.

Understanding Inflation

Inflation is the gradual erosion of your money's purchasing power. It works slowly, invisibly — and relentlessly.

Understanding it is the first step to defeating it.

WHAT IS INFLATION?

The Definition

Inflation measures how much more expensive a fixed basket of goods and services becomes over time. A 3% inflation rate means something costing \$100 today will cost \$103 next year — and \$134 in ten years.

Why It Happens

When more money chases the same amount of goods, prices rise. This is driven by consumer demand, supply shocks (e.g. oil embargoes), government money printing (monetary expansion), and wage-price spirals.

Why It Matters to Investors

A savings account paying 1% while inflation runs at 4% is a losing proposition — your money shrinks in real terms by 3% per year. Investing in real assets (equities, real estate, commodities) that grow faster than inflation is the only reliable protection.

The 2% Target

Most central banks (the US Federal Reserve, the European Central Bank, the Bank of England) target approximately 2% annual inflation as the healthy 'sweet spot' — enough to encourage spending and investment, but not so much as to destabilise the economy.

PURCHASING POWER OVER TIME			
ITEM	THEN	NOW (2025)	CHANGE
■ Coffee	\$0.25 (1970)	\$5.50	+2,100%
■ Avg. US Home	\$23,400 (1970)	\$430,000	+1,737%
■ College Tuition	\$1,200 (1975)	\$38,000	+3,067%
■ Gallon of Gas	\$0.36 (1970)	\$3.50	+872%
■ Burger	\$0.15 (1965)	\$5.89	+3,827%
✈️ ■ Transatlantic	\$550 (1970)	\$650	+18%
■ Aspirin 100ct	\$0.49 (1970)	\$9.50	+1,837%
■ TV Set	\$500 (1970)	\$350	-30%

KEY INSIGHT

\$1 kept as cash in 1970 has the purchasing power of roughly \$0.13 today. \$1 invested in the S&P 500 in 1970 is worth over \$200 today — with dividends reinvested.

Assets vs. Liabilities

04

"Rich people acquire assets. The poor and middle class acquire liabilities they think are assets." — Robert Kiyosaki, *Rich Dad Poor Dad*

ASSETS — Put Money IN Your Pocket

● Stocks & ETFs

Ownership in businesses. As earnings grow, so does your share value. The S&P 500 has returned ~10.7%/yr since 1957.

● Rental Real Estate

Monthly rental income exceeding mortgage and expenses. Property also appreciates over time — dual return stream.

● Bonds & Fixed Income

You lend capital to governments or corporations. They pay you regular interest (coupon) and return principal at maturity.

● Business Equity

Ownership stake in a company. If it grows, your stake multiplies. Warren Buffett built \$130B+ through business ownership.

● Intellectual Property

Books, patents, music, software. Created once — generate royalties and licensing income indefinitely while you sleep.

Positive cash flow → wealth grows

LIABILITIES — Take Money OUT of Your Pocket

● Primary Residence (mortgaged)

Costs money every month (mortgage, tax, maintenance). Only an asset if it generates income. Most homeowners' largest 'asset' is actually their largest liability.

● Car Loans

A new car loses 20% of its value the moment you drive off the lot. A car loan adds 15–25% total cost via interest. Depreciating asset + interest = pure wealth destruction.

● Credit Card Debt

The average US credit card APR is ~21%. Carrying \$5,000 in credit card debt costs over \$1,000/yr in interest — money that could be compounding for you instead.

● Consumer Goods on Credit

Electronics, fashion, holidays financed via debt. These items lose value immediately, yet you keep paying for them long after they're obsolete or forgotten.

● Unused Subscriptions & Fees

Streaming services, gym memberships, app fees — recurring charges that provide no financial return. Small alone, but collectively they drain hundreds per month.

Negative cash flow → wealth shrinks

Long-Term vs. Short-Term Investing

The single most consequential investment decision isn't what you buy — it's how long you hold it. Time transforms ordinary returns into extraordinary wealth.

SHORT-TERM		LONG-TERM	
DAYS · WEEKS · MONTHS		YEARS · DECADES	
Strategy	Active trading, day trading, swing trading	Strategy	Buy quality assets, hold through cycles
Risk Profile	High — losses can occur within hours	Risk Profile	Lower over time — markets smooth out
Tax Treatment	Short-term capital gains (taxed as income)	Tax Treatment	Long-term capital gains (lower rates)
Time Required	Constant market monitoring required	Time Required	Quarterly review is sufficient
Success Rate	Studies: ~80% of day traders lose money	Success Rate	S&P 500 positive 97% of all 10-yr periods
Stress Level	Very high — emotionally demanding	Stress Level	Low — ignore short-term noise
Best For	Experienced traders with deep risk tolerance	Best For	Every investor building lasting wealth
■ RISK WARNING: 80% of day traders lose money within 2 years.		✓ FACT: S&P 500 has NEVER delivered a negative 20-year return.	

THE COMPOUNDING EFFECT — \$10,000 invested at 10%/yr annual return:

\$25,937	\$67,275	\$174,494	\$452,593
10 yrs	20 yrs	30 yrs	40 yrs

"The stock market is a device for transferring money from the impatient to the patient." — Warren Buffett

Financial Foundations

You have completed the first module. These five principles form the bedrock of every investment decision you will ever make.

✓ MODULE COMPLETE

Five Principles to Carry Forward

- **Investing is ownership, not gambling.**
When you buy a stock, you become a part-owner of a real business — with a claim on its earnings, assets, and future. This is fundamentally different from speculation.
- **People invest to outrun inflation, build wealth, earn income, and achieve freedom.**
These four motivations are the compass of every rational financial plan. Every investment decision should map back to at least one of them.
- **Inflation is the most dangerous tax most people never think about.**
At 3% per year, your cash loses 30% of its real value in a decade. The only reliable antidote is owning assets that grow faster than the price level.
- **Assets build wealth; liabilities drain it.**
Kiyosaki's insight: focus relentlessly on acquiring things that put money into your pocket. Minimise the things that take it out. This discipline, sustained, creates generational wealth.
- **Time in the market beats timing the market.**
Long-term investors capture compounding returns and ride out volatility. Every decade you delay investing approximately halves the terminal value of your portfolio. Start early, stay invested.

Next

Module 02: Stock Market Basics →

